Q1 2025

# Custom Managed Portfolios

## Dixon Mitchell Total Equity

## Quick facts

**Asset class:**
North American Large Cap

**Management style:**
Blend[1]

**Number of holdings:**
36

**Sub-advisor:**
Dixon Mitchell Investment Counsel

**Portfolio manager:**
Aviso Wealth

**Minimum investment:**
$150,000

**Inception Date:**
July 01, 2000

aviso wealth

## What does the strategy invest in?

This strategy focuses on long-term capital growth supplemented by dividend income attained through the investment in a diversified basket of Canadian and foreign (mostly US) large capitalization equities.

## How has the strategy performed?

### Average annual compound returns

| | 3 month | YTD | 1 yr | 3 yr | 5 yr | 10 yr | SI |
|---|---|---|---|---|---|---|---|
| Portfolio | -0.7% | -0.7% | 10.7% | 11.8% | 19.2% | 12.3% | 9.8% |
| Benchmark[5] | -0.1% | -0.1% | 15.7% | 9.8% | 17.3% | 10.6% | 6.8% |

### Calendar year returns

| | 2024 | 2023 | 2022 | 2021 | 2020 | 2019 | 2018 |
|---|---|---|---|---|---|---|---|
| Portfolio | 20.3% | 22.7% | -3.3% | 29.5% | 12.3% | 19.5% | -0.2% |
| Benchmark[5] | 25.6% | 14.9% | -7.4% | 28.0% | 8.6% | 22.8% | -4.1% |

| | | | | | |
|---|---|---|---|---|---|
| Standard deviation | 7.4% | Sortino ratio | 1.51 | Downside capture | 67.7% |
| Sharpe ratio | 1.10 | Beta (Equity) | 0.91 | Upside capture | 97.4% |

## Largest holdings

1. VISA INC 6.1%
2. INTERCONTINENTAL EXCH INC 5.8%
3. BERKSHIRE HATHAWAY CL B 4.9%
4. DOLLARAMA INC 4.7%
5. TORONTO DOMINION BK 4.3%
6. ROYAL BANK OF CDA 4.0%
7. ALPHABET INC CL A 3.8%
8. BROOKFIELD CORP VTG CL A 3.8%
9. ALIMENTATION COUCHE-TARD 3.8%
10. THERMO FISHER SCIENTIFIC INC 3.8%

## Portfolio attributes

| Dividend yield | Average Trailing P/E | Average Forward P/E | Average Trailing P/S | Average Forward P/S | Average market cap | Portfolio turnover |
|---|---|---|---|---|---|---|
| 1.5% | 41.59 | 19.26 | 5.74 | 5.16 | 372.14B | 55.8% |

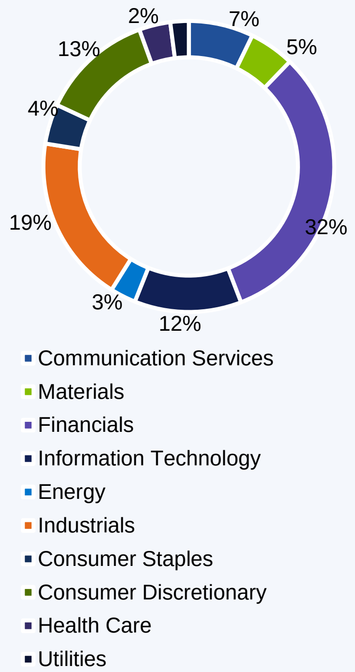
## Target allocations

| Asset class | Min | Target | Current | Max |
|---|---|---|---|---|
| Canadian equities | 50% | 64% | 48% | 80% |
| Foreign equities | 20% | 34% | 48% | 50% |
| Cash & cash equivalents | 0% | 2% | 4% | 20% |

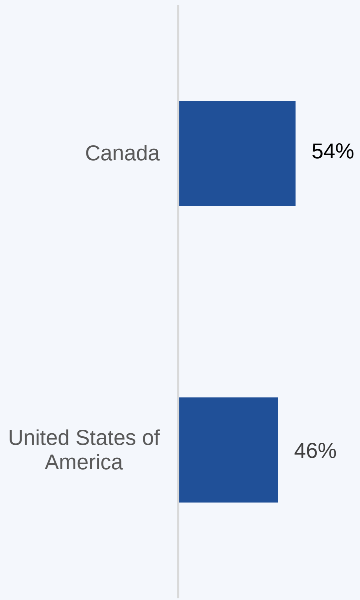
■ Target □ Current

Q1 2025

## Sector breakdown




## Geographic allocation




# Quarterly commentary

It's been a tougher go for us in Canada to start 2025, not because tariff uncertainty has torpedoed our market, but rather because the gold sector has dominated performance and we have only minor exposure to this group. In March, gold broke through $3000 per ounce for the first time on the way to posting its best quarter since 2016, as tumult in the US drove capital to the “safe haven” commodity. In sympathy, the precious metals sub-sector posted a big gain in the year’s first three months and outperformed the market’s next best sector by a factor of nearly five.

Resource stocks, and gold miners in particular, don’t provide a good match with our investment philosophy, however, which is grounded on consistent cash flow generation, effective redeployment of capital, and earnings visibility. Mining companies have a spotty record on all three of these counts: their earnings tend to move in wide cycles, regularly dipping into the negative; they’re voracious consumers of capital and rarely complete projects on budget; and they are always “price-takers”, with no ability to differentiate their output from others in the industry. And so, during the sporadic periods when the stars align for this sector, DM Canadian Equity will inevitably cede some of its long-term outperformance. When stocks, or groups of stocks, are making parabolic new highs, the most dangerous words in investing are said to be, “it’s different this time”. Of course, this counsel is meant to warn that mature economies can only grow so fast, innovations can only be adopted so quickly, and equity valuations can only become so stretched. But these words can also be useful in reverse. The financial crisis of 2008 and accompanying Great Recession were unlike any economic event that any of us had experienced first-hand, and the covid epidemic and concurrent market crash were definitely extreme events, both financially and socially. As it happened, though, the only investors whose fortunes were permanently hurt during those periods were the ones who decided that it was “different this time” and abandoned their long-term portfolios in favour of perceived safety.

This market feels different because its downfall has seemingly been brought about by one person and a single set of decisions. In fact, unlike past declines when leverage, or inflation, or geopolitical turmoil were the catalysts, uncertainty itself is now the variable. In other words, stocks aren’t currently reacting to fundamentals per se, they’re reacting to the realization that fundamentals are suddenly unknowable and to the real possibility that companies will pull back from planning, investing, and building until conditions clarify.
Much like the covid decline, however, a rapid plunge such as the one we’re now experiencing can also create rare asymmetric opportunities. This is when great companies, ones whose products and services will account for meaningful parts of our expenditure regardless of economic conditions, can be bought at steep discounts. During covid, we re-underwrote each of our equity mandates and shifted capital to names which we felt had been excessively punished in the downfall and those which we believed could best weather the upside-down economic backdrop.

As we’ve written in the past, if stocks provided a smooth return path, they wouldn’t offer the promise of anything more than a savings account yield. It’s because they’re prone to dropping without notice and by meaningful amounts that they’re priced to reward those with the time horizon and resolve to hang on through thick and thin.

Though it's hard to resist the natural urge to try and sidestep periodic declines, no one has yet displayed a repeatable knack for identifying either imminent market drops or the optimal moments at which to reinvest. And even with perfect information about future economic events, markets often don't behave as expected. If we told you in December that Trump's promised tariffs would be levied on Canada at even greater rates than forecast, that our federal government would be prorogued in the midst of this economic crisis, and that our economy would dip to within a hair's breadth of recession, getting your investment funds out of Canada would have probably been your priority. As it happens, though, the TSX has outperformed the S&P 500 by a wide margin so far this year, even in US dollar terms.

Not surprisingly, sentiment toward just about everything – the market, the economy, the state of politics and global accord – has plunged to or below historic lows. Even though such general gloom makes us want to seek safety, this natural instinct is almost always in conflict with our financial best interest. When we further compare current events with the Great Financial Crisis and covid crash, key differences become apparent. In 2008, a massive bubble in US housing and credit markets was popping, a process which unfortunately had to run its course before green shoots could appear. Likewise, during the pandemic, central bankers and finance ministers could only mitigate the economic fallout and had to wait for science to catch up with the disease. Today, however, most of the economic damage that has been wrought so far could be undone with a phone call, or a press conference or, more likely, a business-positive tweet. Such a development would undoubtedly ignite a market surge, but even if it doesn't come to pass, hiding on the sidelines might not provide the immunity expected. If the announced tariff regime, or some form of it, becomes an economic fixture, it will almost certainly cause the declining path of inflation to reverse (if it hasn't already). Against such a backdrop, the purchasing power of cash and interest-bearing investments will erode and, presumably, assets which have historically provided inflation protection (such as stocks) will gain favour. So, much like the investor who thought they were making a prudent risk management move by shifting to GIC's when short term rates popped above 5% a couple of years ago – only to later find out that they would have earned nearly four times as much by sticking with stocks – someone abandoning their long-term investment plan today introduces the risk of a similar setback.

# Investment manager overview

Dixon Mitchell was formed in June of 2000 by a small group of principals with the goal of providing sound asset management to mid and high net worth individuals. The team coalesced with a vision of offering investment management and client service at a level not generally achieved in a sprawling corporate environment.

Today, they are comprised of a focused group of individuals who bring diverse talents and experience to both the security selection and portfolio construction aspects of investment management.

# Investment philosophy

Dixon Mitchell's investment approach is geared toward generating strong, absolute returns independent of market conditions and recognizes the importance of risk management to long term performance.  Stocks are evaluated based on their valuation and ability to generate and grow cash flow and all securities must meet their tests for equitable corporate governance. The objective of the Total Equity mandate is to achieve long term capital growth supplemented by dividend income attained through the investment in a diversified basket of Canadian and foreign large-cap equities.

# Investment process and risk controls

Fundamental to this philosophy is Dixon Mitchell's equity screening process:

**Qualitative Attributes:**

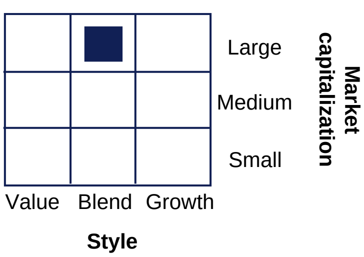
1. Sustainable competitive advantage
2. Positive industry fundamentals
3. Equitable corporate governance

**Quantitative Evaluations:**

1. High return on invested capital
2. Current dividend yield / trend
3. Cash flow strength

Through this analysis, Dixon Mitchell evaluates each equity holding as a business. If that business is not run by management whose interests are aligned with theirs, or if it does not generate a true investment return through cash flow and dividends, it is not a candidate for the Dixon Mitchell portfolios. These rigorous standards, along with their unwillingness to overpay for a company, produce stable long-term performance and portfolios that stand the test of time.

# Equity style[2]




# About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions,  we serve hundreds of thousands of investors at credit unions across Canada.

With approximately $130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins

[1] Blend – Combination of growth and value investment style

[2] Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

[3] The return data is as at March 31, 2025. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

[4] The information contained in this report was obtained from sources believed to be reliable; however, we cannot guarantee that it is accurate or complete. The Custom Managed Portfolios is distributed by Aviso Wealth Inc. Mutual funds and other securities are offered through Aviso Wealth Inc. Referral fees, commissions, management fees, and expenses all may be associated with managed accounts or the investments therein. Please read the prospectus before investing. Managed accounts, and the investments therein, are not insured nor guaranteed, their values change frequently and past performance may not be repeated..

[5] The benchmark is 70% S&P/TSX 60 TR Index; 30% S&P 500 TR Index (CAD). The information contained in this report was obtained from sources believed to be reliable; however, we cannot guarantee that it is accurate or complete. Custom Managed Portfolios are distributed by Aviso Wealth. Mutual funds and other securities are offered through Aviso Wealth, a division of Aviso Financial Inc. Referral fees, commissions, management fees, and expenses all may be associated with managed accounts or the investments therein. Managed accounts, and the investments therein, are not insured nor guaranteed, their values change frequently, and past performance may not be repeated. Activities performed by Aviso Wealth are conducted through Aviso Financial Inc.

Aviso Wealth Inc. ('Aviso') is a wholly owned subsidiary of Aviso Wealth LP, which in turn is owned 50% by Desjardins Financial Holding Inc. and 50% by a limited partnership owned by the five Provincial Credit Union Centrals and The CUMIS Group Limited. The following entities are subsidiaries of Aviso: Aviso Financial Inc. (including divisions Aviso Wealth, Qtrade Direct Investing, Qtrade Guided Portfolios, Aviso Correspondent Partners) and Northwest & Ethical Investments L.P.

24-06-692326E